

per-year clip for a long time. If the chain's expansion rate were to continue, Wal-Mart would be the only retailer left in the country after only twenty-five years. For about five more years Wal-Mart did continue to manage 25 percent a year or better growth. But finally the tree got too high. In fiscal 1996 sales were up only 13.5 percent, and the company that had reported ninety-nine consecutive quarters of earnings growth announced that profits for the fourth quarter of 1995 were down about 10 percent from profits of the year before.

Just as some of the companies on the top of the list will drift downward, some on the bottom will percolate up toward the middle. In statistics this is known as "reversion to the mean."

The high prices investors have paid for the companies originally at the top of the list will prove disastrous if those companies' earnings prove below analysts' forecasts, and since analysts consistently overestimate growth rates, disasters happen all the time. A 20 percent growth rate is a nice round number, easy for an analyst to pencil in, and that gets people excited. It should, because 20 percent growth over time would be spectacular. And at some point, impossible to sustain.

Earnings disappointments aren't as rough on value stocks, because they're already in the basement. More important, some of them come through with surprises on the upside, which propels them smartly up the list.

The skilled growth stock manager will continually restore the integrity of his list. But the probabilities, the odds, the very laws of nature are tilted in favor of the value school. Some three dozen published academic studies have shown that, indeed, over long pe-